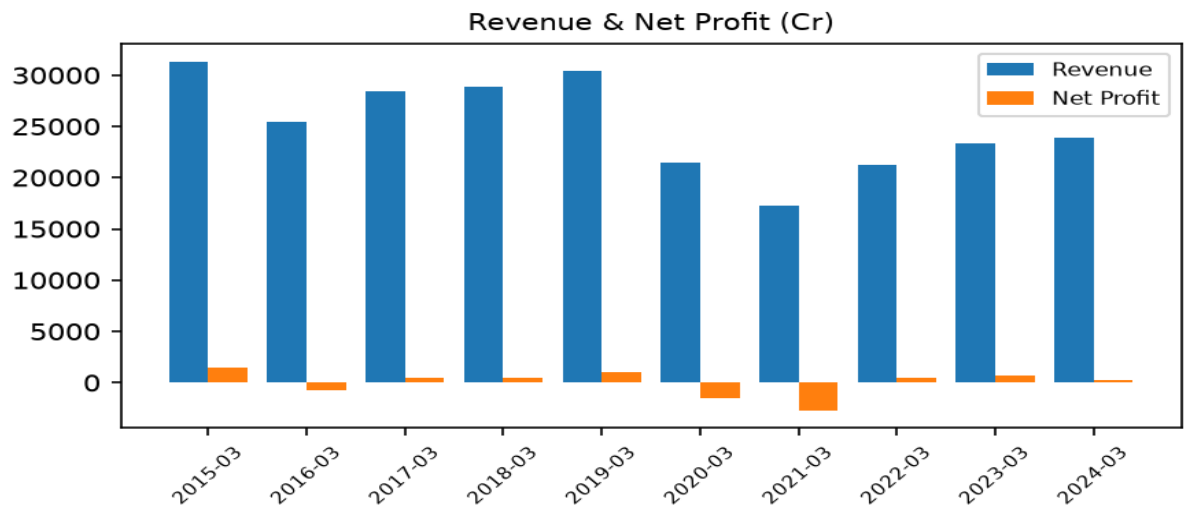


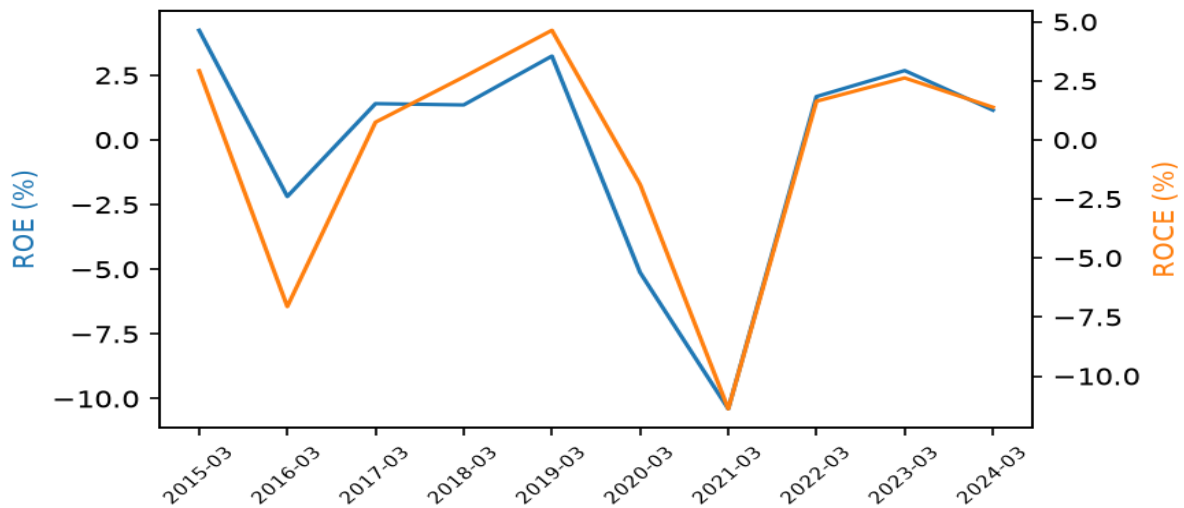
Bharat Heavy Electricals Limited (BHEL)

ROE 1.2%	ROCE 1.4%	Net Profit Margin 1.2%
D/E 0.4	Revenue CAGR 5yr -4.7%	Free Cash Flow (Cr) -2382.0

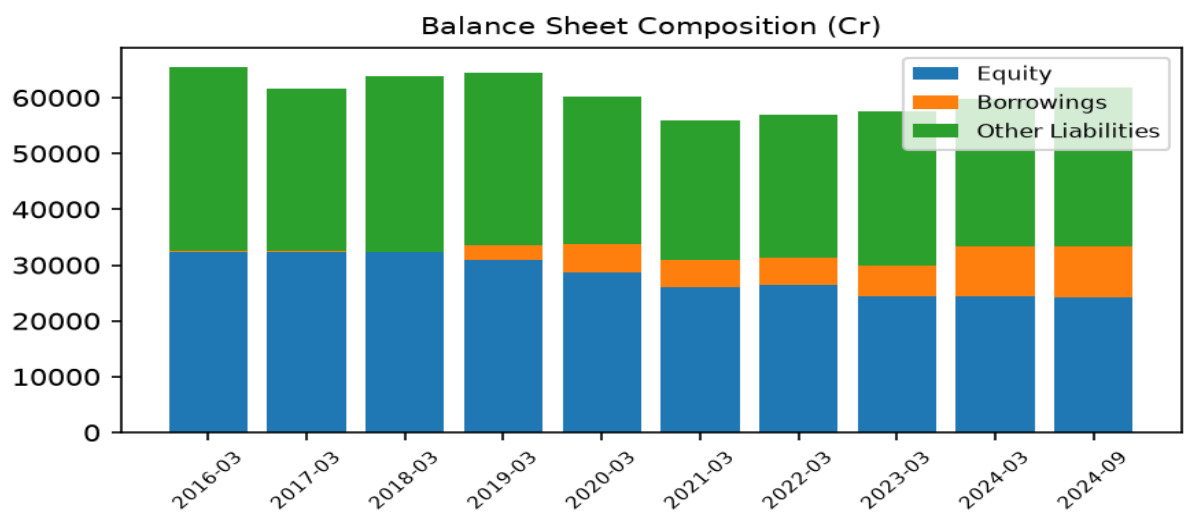
Revenue & Net Profit (10yr)



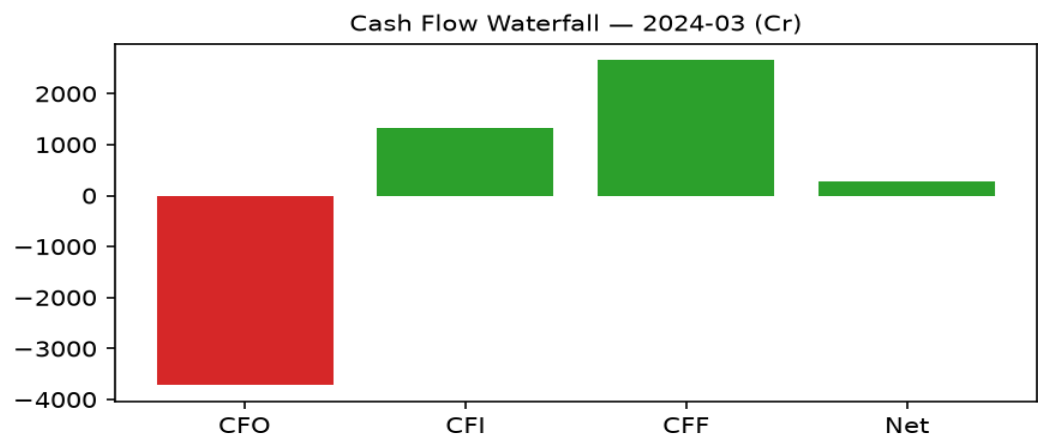
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ No pros identified above confidence threshold.

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Distress Signal